Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 1 of 7 · Question 2 part d · 5 marks

2020 JAN · Paper 02 · extract 1 of 2 · find part d in this mark scheme extract

2(a)	**Award marks as indicated.** Raw materials are the **resource** needed to make finished goods. **(1)** Work in progress is goods which are **partly completed** at the end of the financial year. **(1)** Finished goods are goods which are fully **completed** and ready for sale. **(1)** **Accept any other appropriate responses.**	**(3)**

Question number	Answer	Mark
2(b)	**Award marks as indicated.** **Award 1 mark for all correct labels.**	**(11)**

Jeff
Manufacturing account for the year ended 31 December 2019

	$	
Opening inventory of raw materials	18 750	
Purchases	238 795	
Carriage inwards	8 955	
Closing inventory of raw materials	(16 250)	
Cost of raw materials consumed	250 250	**(1)**
Direct expenses / royalties	50 000	**(1)**
Direct wages	99 250	**(1)**
Prime cost	399 500	**(1of)**
Depreciation on factory machinery	9 216	**(1)**
Insurance	10 000	**(1)**
Supervisor wages	30 900	**(1)**
Heat, light and power	28 400	**(1)**
	478 016	
Opening inventory of work in progress	21 570	**(1for both)**
Closing inventory of work in progress	(18 590)	
Cost of production	480 996	**(1of)**

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 1 of 7 · Question 2 part d · 5 marks

2020 JAN · Paper 02 · extract 2 of 2 · find part d in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Non-current assets</th><th>Current assets</th><th>Non-current liabilities</th><th>Current liabilities</th></tr>
<tr><td>Accumulated depreciation</td><td>✓ (1)</td><td></td><td></td><td></td></tr>
<tr><td>Bank loan 2026</td><td></td><td></td><td>✓ (1)</td><td></td></tr>
<tr><td>Work in progress</td><td></td><td>✓ (1)</td><td></td><td></td></tr>
<tr><td>Bank overdraft</td><td></td><td></td><td></td><td>✓ (1)</td></tr>
<tr><td>Other receivables</td><td></td><td>✓ (1)</td><td></td><td></td></tr>
<tr><td>Provision for irrecoverable debts</td><td></td><td>✓ (1)</td><td></td><td></td></tr>
</table></td><td>(6)</td></tr>
</table>

Question number	Answer	Mark
2(d)	**Award 1 mark for a general statement regarding the reason why it is necessary. Further 3 marks for discussion to develop the reason and the final 1 mark for a conclusion.** **Sample answers** This is an application of the accruals concept **(1)**. To apply this concept, it is necessary to transfer to the income statement only the amounts covered by that period **(1)**. This allows a more meaningful comparison of financial statements year on year **(1)** and allows the business to present a true and fair view of its financial position **(1)**. It is necessary to account for other receivables and other payables to present a more accurate view of profit and loss and/or current assets and liabilities **(1)**.	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 2 of 7 · Question 17 part b.ii · 2 marks

2023 JUN · Paper 01 · extract 1 of 2 · find part b.ii in this mark scheme extract

Number		
17(a)(i)	**Award marks for correct dates, details and amounts in combination.**	**(7)**

Stationery Account

Date	Details	$	Date	Details	$
1 May	Balance b/d	250 **(1)**	17 May	Cash book /Bank	15 **(1)**
10 May	Cash book /Bank	80 **(1)**	29 Aug	Journal/ Drawings	25 **(1)**
			30 April	Income statement	100 **(2/1of)**
				Balance c/d	190
		330			330
1 May	Balance b/d	190 **(1)**			

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for the correct concept** To comply with the business entity concept **(1)**	**(1)**

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 2 of 7 · Question 17 part b.ii · 2 marks

2023 JUN · Paper 01 · extract 2 of 2 · find part b.ii in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(b)(i)</td><td>Award marks for correct dates, details and amounts in combination.

Insurance Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>1 May</td><td>Balance b/d</td><td>360 (1)</td><td>30 April</td><td>Income statement</td><td>2 010 (2/1of)</td></tr>
<tr><td>1 July</td><td>Cash book /Bank</td><td>1 980 (1)</td><td></td><td>Balance c/d</td><td>330</td></tr>
<tr><td></td><td></td><td>2 340</td><td></td><td></td><td>2 340</td></tr>
<tr><td>1 May</td><td>Balance b/d</td><td>330 (1)</td><td></td><td></td><td></td></tr>
</table></td><td>(5)</td></tr>
</table>

Question Number	Answer	Mark
17(b)(ii)	**Award 1 mark for the correct concept and 1 mark for explanation** **Sample answer** **Accounting concept:** Accruals **(1)** **Explanation:** Only expenditure incurred during the year should be matched with the income for that year. **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 3 of 7 · Question 2 part c · 2 marks

2020 NOV · Paper 02 · extract 1 of 4 · find part c in this mark scheme extract

2 (a) **Award marks as indicated with label.**

Hyat
Manufacturing account for the year ended 31 December 2019

	$	$
Prime cost		18 750
Factory overheads		
Depreciation - factory machinery	5 120 **(1)**	
Rent, rates and power	4 500 **(1)**	
Wages	15 250 **(1)**	
		24 870
		43 620
Opening work in progress	1 370 **(1)**	
Closing work in progress	(1 450)**(1)**	
		(80)
Production cost		43 540 **(1of)**

(6)

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 3 of 7 · Question 2 part c · 2 marks

2020 NOV · Paper 02 · extract 2 of 4 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (b)	**Award marks as indicated with label.**	**(9)**

Hyat
Income statement for the year ended 31 December 2019

	$	$
Revenue		68 000 **(1)**
Cost of sales		
Opening inventory	4 730	
Cost of production	43 540 **(1of)**	
Closing inventory	(5 180) **(1fb)**	
		(43 090) **(1of)**
Gross profit		24 910 **(1of)**
Expenses		
Administration expenses	11 725 **(1)**	
Rent, rates and power	1 500 **(1)**	
Wages	5 000 **(1)**	
		(18 225)
Profit for the year		6 685 **(1of)**

Question Number	Answer	Mark
2 (c)	**Award 1 mark for identifying the accruals concept and 1 mark for application.** **For example** To comply with the accruals/matching concept **(1)** by matching revenues earned with the expenses incurred during the same period **(1).**	**(2)**

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 3 of 7 · Question 2 part c · 2 marks

2020 NOV · Paper 02 · extract 3 of 4 · find part c in this mark scheme extract

Question Number	Answer	Mark
2 (d) (i)	**Award 1 mark for an introduction and up to 3 marks for development.** **For example** Current (working capital) ratio has not changed however the Liquid (acid test) ratio has deteriorated **(1).** The business will struggle to pay its short-term liabilities **(1)** with its liquid assets **(1)** as the business is holding more inventory compared to last year **(1).**	**(4)**

Question Number	Answer	Mark
2 (d) (ii)	**Award mark as indicated.** No **(1)**	**(1)**

Question number	Answer	Mark
2 (d) (iii)	**Award 1 mark for identification of an improvement and up to 2 marks for justification.** **For example** Negotiate better credit terms with suppliers **(1)** which will provide extra time to collect money from the customers **(1)** before paying suppliers **(1).**	**(3)**

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 3 of 7 · Question 2 part c · 2 marks

2020 NOV · Paper 02 · extract 4 of 4 · find part c in this mark scheme extract

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Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 4 of 7 · Question 2 part d · 4 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 3 · find part d in this mark scheme extract

2 (a) **Award marks as indicated.**

Bob
Statement of Financial Position at 29 February 2024

	$	$	$
Assets			
Non-current assets			
Fixtures and fittings		11 900	
Motor vehicles		15 400	
			27 300**(1)**
Current assets			
Inventory		8 531	
Trade receivables	8 490**(1)**		
Allowance for doubtful debts	(346)		
		8 144**(1)**	
Other receivables		600**(1)**	
Cash at bank		2 198	
Cash in hand		289	
			19 762**(1)**
Total assets			47062**(1of)**
Equity and liabilities			
Equity			
At 1 March 2023		30 000	
Profit for the year		8 083	
Drawings		(5 552)	
Total equity			32 531**(1)**
Non-current liabilities			
Bank loan (2028)			10 000**(1)**
Current liabilities			
Trade payables		4 320	
Other payables		211	
			4 531**(1)**
Total liabilities			14 531
Total equity and liabilities			47062**(1of)**

(10)

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 4 of 7 · Question 2 part d · 4 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 3 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(b)(i)	**Award marks as indicated.** **Current (working capital) ratio** Current assets/current liabilities **(1)** 4.36:1 **(1of)** **Liquid (acid test) ratio** Current assets – inventory/current liabilities **(1)** 2.48:1 **(1of)**	**(4)**

Question Number	Answer	Mark
2(b)(ii)	**Award up to 2 marks for the evaluation of each ratio.** **Award 1 mark for conclusion.** **Sample answer** **Current ratio** The current ratio indicates that the business is able to meet its short-term debts **(1)** however as the figure exceeds the benchmark of 2:1 this indicates poor management of the working capital. **(1)** **Liquid ratio** The liquid ratio indicates that the business is able to meet its short-term debts without having to sell its inventory **(1)** however the figure exceeds the benchmark of 1:1 which may indicate an excessive amount of resource tied up in either trade receivables or in the business bank account. **(1)** **Conclusion** Although both ratios indicate a positive liquidity position Bob should not be satisfied as the business needs to take action to return to the benchmark for each ratio **(1)** **Accept any other appropriate responses**	**(5)**

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 4 of 7 · Question 2 part d · 4 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 3 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award up to two marks for correct difference.** **Sample answer** Profitability refers to the ability of a business to generate income relative to its expenditure **(1)** whereas liquidity refers to the ability of a business to pay its debts **(1).** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
2(d)	**Award 1 mark for identifying the correct concept plus up to three marks for development.** **Sample answer** **Concept** Accruals/Matching **(1)** **Explanation** The accruals concept states that the revenue of an accounting period must be matched against the costs of the same period **(1)** By adjusting for other receivables and other payables a business will be able to present a more accurate view of the profit or loss for the year **(1)** and a more accurate view of the financial position of the business **(1)** **Accept any other appropriate responses**	**(4)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 5 of 7 · Question 1 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c in this mark scheme extract

Number		
1(a)	**Award marks as indicated.** $248 780 **(5)W** **W** **Alternative presentation**	**(5)**

	$	
Customer receipts	234 800	**(1)**
Discount allowed	3 740	**(1)**
Closing balance	41 790	**(1)**
Opening balance	(31 550)	**(1)**
Credit sales	248 780	**(1of)**

Details	$	Details	$
Balance b/d	31 550 **(1)**	Cash book/ Discount allowed	3 740 **(1)**
Sales day book / Credit sales	248 780 **(1of)**	Cash book	234 800 **(1)**
		Balance c/d	41 790
	280 330		280 330
Balance b/d	41 790 **(1)**		

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 5 of 7 · Question 1 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award marks as indicated.**	**(15)**

Tim

Income statement for the year ended 30 April 2023

	$	$
Revenue		248 780 **(1of)**
Cost of sales		
Opening inventory	27 280	
Purchases	139 000 **(1)**	
Goods for own use	(3 950) **(1)**	
Carriage inwards	1 385 **(1)**	
	163 715	
Closing inventory	(20 130) **(1fb)**	(143 585) **(1)**
Gross profit		105 195 **(1of)**
Expenses		
Discount allowed	3 740 **(1)**	
General expenses	68 350 **(1)**	
Advertising	1 865 **(1)**	
Carriage outwards	1 090 **(1)**	
Wages	5 850 **(1)**	
Depreciation - equipment	17 160 **(1)**	98 055 **(1)**
Profit for the year		7 140 **(1of)**

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 5 of 7 · Question 1 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(c)	**Award 1 mark for identification of correct concept. Award up to 2 marks for development.** **Sample answer** The adjustment was made in compliance with the business entity concept **(1).** This states that the business is treated as separate from the owner **(1).** Therefore, this adjustment is necessary to avoid understating profits **(1).** **Accept any other appropriate responses.**	**(3)**

Question Number	Answer	Mark
1(d)	**Award 1 mark for identification and 1 mark for development.** **Sample answer** Once Tim has selected a method for depreciating a non-current asset, this should be used consistently **(1).** This will allow comparison of results from year to year **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 6 of 7 · Question 2 part a.ii · 2 marks

2025 JUN · Paper 02 · extract 1 of 3 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
2(a) (i)	**Award 1 mark for an explanation of the prudence concept and up to 2 marks for valid development.** The prudence concept states that profits and assets should not be overstated **(1).** Creating a provision for irrecoverable debts recognises that not all debts will be recovered **(1)** therefore the true value of trade receivables will be shown in the financial statements **(1)**	**(3)**

Question Number	Answer	Mark
2(a) (ii)	**Award 1 mark for an explanation of the business entity concept and 1 mark for valid development.** **Sample Answer** The business entity concept states that the business is treated as being completely separate from the owner of the business **(1)** therefore the business books of account should only reflect the transactions of the business and not the owner's personal expenditure **(1).** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
2(b)	**Award marks as indicated** $36 784 **(5) W** **Working**	**(5)**

	$	
Draft profit for the year	37 800	
Rental income in advance	(650)	**(1)**
Goods for own use	280	**(1)**
Depreciation understated	(400)	**(1)**
Provision for irrecoverable debts	(246)	**(1)**
Revised profit for the year	36 784	**(1)**

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 6 of 7 · Question 2 part a.ii · 2 marks

2025 JUN · Paper 02 · extract 2 of 3 · find part a.ii in this mark scheme extract

Question number	Answer	Mark
2(c)	**Award marks as indicated.**	**(10)**

Ruhi
Statement of financial position at 31 March 2025

Assets	**$**	**$**	
Non-current assets		21 420	**(1)**
Current assets			
Inventory	14 650		
Trade receivables	12 054		**(1)**
Other receivables	330		
		27 034	
Total assets		48 454	**(1of)**
Equity and liabilities			
Equity			
Opening equity	23 900		
Profit for the year	36 784		**(1of)**
Drawings	(32 580)		**(1)**
Total equity		28 104	**(1of)**
Non-current liabilities			
Bank loan		9 500	**(1)**
Current liabilities			
Trade payables	8 660		
Other payables	2 030		**(1)**
Bank overdraft	160		
		10 850	
Total liabilities		20 350	**(1of)**
Total equity and liabilities		48 454	**(1of)**

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 6 of 7 · Question 2 part a.ii · 2 marks

2025 JUN · Paper 02 · extract 3 of 3 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award up to 4 marks for assessment of the ratios. Award 1 mark for a conclusion.** **Sample Answer** While the gross profit percentage has not changed over the three years the profit for the year as a percentage of revenue has worsened **(1)**, which indicates that the business needs to improve the control of expenses **(1)**. The return on capital employed has improved over the same period **(1)** indicating that the business is making better use of the capital invested in the business **(1).** Overall profitability has deteriorated/improved over the three years **(1)** **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 7 of 7 · Question 1 part b · 5 marks

2025 NOV · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

1(a) (i) **Award marks as indicated.**

Joleene

Manufacturing account for the year ended 30 September 2025

	$	$	
Raw materials			
Opening inventory	48 900		
Purchases	134 020		
Returns outwards	(4 500)		
Transport costs	6 400		**(1)**
Drawings	(500)		**(1)**
Closing inventory	(54 320)		
Cost of raw materials consumed		130 000	**(1)**
Direct wages	25 500		**(1)**
Direct factory expenses	18 250		
		43 750	
Prime cost		173 750	**(1)**
Overheads			
Indirect factory expenses	24 500		**(1)**
Indirect labour	29 750		**(1)**
Insurance	16 000		**(1)**
Lighting and Heating	25 000		**(1)**
Machinery repairs	1 880		**(1)**
Rent and rates	18 675		**(1)**
Supervisor salary	35 000		**(1)**
Depreciation – factory machinery	35 840		**(1)**
		186 645	
Work in progress			
Opening inventory	23 100		
Closing inventory	(24 270)		
		(1 170)	**(1)**

(15)

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 7 of 7 · Question 1 part b · 5 marks

2025 NOV · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

	Production cost		359 225 **(1)**	

Question number	Answer	Mark
1(a) (ii)	**Award marks as indicated.**	

Joleene

Income statement for the year ended 30 September 2025

	$	$	
Revenue	543 100		
Returns inwards	32 100		
		511 000	
Cost of sales			
Opening inventory	12 870		
Production cost	359 225		**(1of)**
Purchases	11 930		**(1)**
Returns outwards	(1 200)		
Drawings	(750)		**(1)**
Closing inventory	(10 850)		
		(371 225)	**(1of)**
Gross profit		139 775	**(1of)**

(5)

Question Number	Answer	Mark

Type MS · Why accruals, prepayments and owner's own use are adjusted (concepts)

Answer 7 of 7 · Question 1 part b · 5 marks

2025 NOV · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

1(b)	**Award up to 2 marks for an explanation of the business entity concept** **Award up to 2 marks for the effect on the financial statements.** **Award 1 mark for an overall conclusion.** **Sample answer** If Joleene does not keep a record of goods and cash taken for her own use, she would not be able to comply with the **business entity** concept **(1)** which states that the business has a separate existence from that of its owner **(1).** If Joleene does not maintain any record of goods taken for her own use, then the gross profit will be understated **(1)** as the cost of goods sold will be overstated by the amount of goods she has taken **(1)**. I would advise Joleene to maintain a record of her drawings **(1)**. **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS